

Q2 2025

1. **Sentiment score:** +0.7
2. **Decision:** BUY
3. **Top quotes that influenced my call:**

A) “And we're also seeing nice momentum in ad sales. Still off a pretty small base, but good growth, and it's on pace to roughly double our revenue in the year, and it's a bit ahead of beginning of year expectations”

B) “So bigger audience, but also an audience that's more engaged relative to our peers. The rollout of our own ad tech stack, which helps deliver a bunch of features and then our slate, which is generally amazing and includes a growing number of live events that advertisers are excited about.”

C) “So that's our model in action. It is our objective to sustain healthy revenue growth, reinvest in the business to improve on all aspects of the service. And that includes growing content spend, strengthening and expanding the entertainment offering and to drive that positive flywheel of growth by adding value to our members and all the while growing engagement revenue and profit around the world.”

4. **Summary:** Great growth; confident tone; lots of new features coming out and movies/tv shows coming in; GenAI use; UI validated; youtube content streamers some involved; potential for growth with 80% of total TV view share that neither Netflix or YouTube are winning right now.
5. **Any risks flagged:** No specific data points shared
6. **Time taken to read and decide:** 55 minutes (not fully focused)
7. **What the stock actually did overnight:**

Official ground truth: **-2.5%**, call was **wrong**

Secondary note: stock stabilized by day 4, total move to -3.2%, never recovered to pre-earnings level in this window

Methodology flag: Netflix has stopped disclosing subscriber adds, so future quarters need a different primary metric (likely revenue growth rate and operating margin instead)

Q3 2025

1. **Sentiment score:** -0.5
2. **Decision:** SELL
3. **Top quotes that influenced my call:**

A) “And this is a very exciting time in terms of a lot of innovation, a lot of competition, but that's been true for the last 25 years. ”

B) “And secondly, absent this expense, we would have exceeded our Q3 '25 operating income and operating margin forecast, and we don't expect this matter to have a material impact on our results going forward.”

C) “Now we believe we've got a better understanding of the streaming business than any of our competitors, but we're also continuing to learn”

4. **Summary:** EPS missed consensus by 15.78% (\$5.87 actual vs \$6.97 expected), driven largely by an unexpected Brazilian tax dispute expense; Revenue essentially in-line, missing consensus by just 0.01% (\$11,510.31M vs \$11,511.20M expected); uncertainty about 2026 guidance; but incredible slate in Q4; total views hours grew faster in FQ3 25 than first half of 2025; Spotify partnership in Oct 2025 so potential market reaction to that
5. **Any risks flagged:** uncertain about 2026; numbers are down
6. **Time taken to read and decide:** 38 minutes
7. **What the stock actually did overnight:**

Ground truth: 21 Oct close \$124.14 → 22 Oct open \$114.29 = -7.9%

Result: Correct; call was SELL, stock dropped sharply

Q4 2025

1. **Sentiment score:** 0.2
2. **Decision:** HOLD
3. **Top quotes that influenced my call:**

A) “Putting maybe a little bit more meat on that bone, in 2025, we met or exceeded all of our financial objectives. We made solid progress on our key priorities. We delivered 16% revenue growth, roughly 30% operating profit growth, expanding margins, growing free cash flow. Ad sales, 2.5x in 2025. We expect that business to roughly double again in 2026 to about \$3 billion. ”

B) “So as a result, you should see higher year-over-year content expense growth in the first half of '26, growing off of that smaller base that we had in the first half of last year. But for the full year, we're estimating, as I think you see in our letter, content amortization to increase roughly 10% year-over-year.”

C) “So maybe start by just noting that total view hours in the second half of '25 grew 2% year-on-year. That's 1.5 billion additional hours, slight acceleration from the 1% growth we saw in the first half of '25.”

4. **Summary:** EPS and revenue positive surprise compared to consensus (1.82 and 0.7); continuous growth; forecasting more healthy growth for year to come; acquisition of Warner Bros underway (announced dec 2025); more certainty and confidence in words; increase in total view hours; all time high retention and customer satisfaction.
5. **Any risks flagged:** growing expenses to come; WB merger
6. **Time taken to read and decide:** 40 minutes
7. **What the stock actually did overnight:**

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Ground truth: 20 Jan close \$87.26 → 21 Jan open \$82.52 = -5.4%

Result: Incorrect; call was HOLD, stock dropped sharply (closer to a SELL-territory move)

Reflection: The hesitation around WB merger costs turned out to be the more important signal than the strong backward-looking Q4/FY2025 numbers. Stock had already been in a months- long downtrend pre-print, and forward guidance concerns appear to have outweighed the historical beat. A HOLD was directionally closer to right than the BUY would have been, but a -5.4% move is large enough that SELL would have scored better here.

Q1 2026

1. **Sentiment score: 0.6**
2. **Decision: BUY**
3. **Top quotes that influenced my call:**

A) “But we've seen really good progress so far in this first quarter that builds on the solid momentum and results from 2025. So given that, we are maintaining our guidance, our strong outlook for organic growth that we established for 2026. That's revenue growth of 12% to 14%, operating margin at 31.5%. ”

B) “We've learned so much about deal execution, about early integration. We're really proud of the team that did all that work. We were proud to win the bid. We are confident in our ability to get to the finish line with regulators for the approvals that we needed.”

C) “First, just to note that volume of engagement is still relevant, and we still track it, we still seek to grow it. I mean, actually, in Q1, view hours were up at a similar rate of growth to what we saw in the second half of 2025. And that's actually despite having the Winter Olympics 17 days of robust streaming [competition land] in Q1 as well. ”

4. **Summary:** EPS +59.74% compared to consensus (huge); and revenue +0.63% compared to consensus; higher than any FQ in 2025; great numbers; incremental engagement seen to podcast platform; membership price increase for US clients; Netflix playground introduction
5. **Any risks flagged:** membership price up; Reed Hastings's decision to not stand for reelection at upcoming annual meeting
6. **Time taken to read and decide:** 35 minutes
7. **What the stock actually did overnight:**

Ground truth: 16 Apr close \$107.79 → 17 Apr open \$96.37 = -10.6%

Result: Incorrect; call was BUY, stock dropped sharply (the largest move across all four quarters)

Overall reflection; four-quarter manual baseline (Q2 2025 – Q1 2026)

Across the four quarters tested, the manual baseline scored **1 correct out of 4**. The one correct call (Q3 2025, SELL) was driven by a clear quantitative miss against consensus; an EPS shortfall tied to an unplanned Brazilian tax expense. All three incorrect calls shared a common failure pattern: each one weighted backward-looking financial strength too heavily and underweighted forward-looking risk.

In Q2 2025, confident qualitative language led to a BUY call, but the market fell anyway, likely because Netflix's already-stretched valuation meant even solid results weren't enough to clear a high bar. In Q4 2025, a clean beat across nearly every metric led to a BUY, but the stock dropped on what appears to have been concern over 2026 guidance and Warner Bros. Discovery merger integration costs; a risk that was visible in the transcript and explicitly flagged in the notes, but ultimately under-weighted relative to the strong headline numbers. In Q1 2026, a seemingly enormous EPS beat (+59.74% vs consensus) drove the strongest BUY conviction of the four quarters, but the headline number was significantly inflated by a one-time, non-recurring \$2.8B termination fee from the collapsed Warner Bros. Discovery deal. Stripped of that distortion, the underlying quarter was materially weaker, and the stock fell 10.6%, the largest move in the dataset, driven by a Q2 guidance miss and the unexpected departure of board chairman Reed Hastings.

Two clear, generalisable findings emerge from this baseline that are directly testable against the LLM arm. First, **headline financial metrics can be misleading when they include one-off, non-recurring items**, and a careful read needs to look past the top-line number to the underlying recurring performance; this is precisely the kind of distortion that requires deliberate scrutiny rather than surface reading. Second, **forward guidance and governance or strategic risk consistently mattered more to the market's reaction than backward-looking results**, even when those results were strong. In every quarter where the call went wrong, the risk that ultimately moved the stock was visible in the transcript and was noted, but was not given sufficient weight relative to the financial headline numbers.

These two findings give the LLM comparison a concrete, falsifiable test: does the model also get pulled toward the headline EPS/revenue figures and under-weight forward guidance and one-off item distortions the way the human baseline did, or does it correctly identify and discount the WBD termination fee and properly weight the Q2 guidance miss in Q1 2026? If the LLM makes the same error, that is itself a meaningful and reportable limitation. If it avoids the error a human reader missed across three of the four quarters, that is a genuinely strong point in favour of LLM-assisted analysis.